



Hawkins Cookers Limited

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Weighted Average Cost of Capital

All figures are in INR unless stated otherwise.

Peer Companies

(Values in Rs. Crore)

Name	Country	Total Debt	Total Equity	Tax Rate ¹	Debt / Equity	Debt / Capital	Levered Beta ²	Unlevered Beta ³
Cello World	India	38.1	8340.6	30.00%	0.46%	0.45%	1.18	1.18
Borosil	India	148.1	2852.8	30.00%	5.19%	4.93%	1.29	1.33
All Time Plastic	India	86.4	1412.0	30.00%	6.12%	5.77%	0.52	0.56
Clay Craft India	India	50.0	332.4	30.00%	15.04%	13.07%	0.82	0.93
Hawkins Cookers	India	29.4	4417.7	30.00%	0.67%	0.66%	0.18	0.19
Average				30.00%	5.49%	4.98%	79.86%	0.84
Median				30.00%	5.19%	4.93%	82.00%	0.93

Cost of Debt

Pre-tax Cost of Debt	12.01%
Tax Rate	30.00%
After Tax Cost of Debt	8.41%

Cost of Equity

Risk Free Rate	6.76%
Equity Risk Premium	9.69%
Levered Beta ⁴	1.19
Cost of Equity	18.27%

Capital Structure

		Current	Target
Total Debt	29.4	0.66%	5.19%
Market Capitalization	4417.7	99.34%	94.81%
Total Capitalization	4447.1	100.00%	100.00%
Debt / Equity		0.67%	5.47%

Levered Beta

Comps Median Unlevered Beta	0.93
Target Debt/Equity	5.47%
Tax Rate	30.00%
Levered Beta	1.19

Weighted Average Cost of Capital

Cost of Equity	18.27%
Equity Weight	94.81%
Cost of Debt	8.41%
Debt Weight	5.19%

WACC 17.76%

1. Tax Rate considered as Marginal Tax Rate for the Country

2. Levered Beta is based on 2 year daily data

3. Unlevered Beta = Levered Beta / (1 + (1 - Tax Rate) x Debt/Equity)

4. Levered Beta = Unlevered Beta * (1 + (1 - Tax Rate) x Debt/Equity)